

Oxford Cambridge and RSA – Practice Paper**AS Level Economics****H060/01 Microeconomics****Practice Paper 3 – Hard**

Time allowed: 1 hour 30 minutes

INSTRUCTIONS

- Use black ink. You can use an HB pencil, but only for graphs and diagrams.
- Write your answer to each question in the space provided.
- Answer **all** the questions in Section A and B and **one** question in Section C.

INFORMATION

- The total mark for this paper is **60**.
- The marks for each question are shown in brackets [].
- Quality of extended response will be assessed in questions marked with an asterisk (*).

ADVICE

- Read each question carefully before you start your answer.

SECTION A

Write your answer to each question in the box provided.

1 Which of the following is most likely to be classified as a quasi-public good?

- A A privately owned car
- B A toll motorway
- C National defence
- D A restaurant meal

Your answer [] [1]

2 Allocative efficiency is achieved in a market when:

- A Firms produce at the minimum point of average total cost
- B Price equals marginal cost ($P = MC$) at the level of output
- C Profits are maximised by the producer
- D Total revenue exceeds total costs at every level of output

Your answer [] [1]

3 A country's production possibility frontier (PPF) shifts inwards.

- A A natural disaster destroying part of the capital stock
- B A reduction in the size of the labour force due to net emigration
- C A technological improvement raising productivity in one sector
- D Long-term depletion of non-renewable natural resources

Your answer [] [1]

4 Which is an example of **composite demand**?

- A Beef and leather both produced from cattle
- B Cars and petrol used together
- C Land used either for housing or for farming
- D Tea and coffee as substitutes

Your answer [] [1]

5 In a market, both demand and supply have increased. The equilibrium price has fallen.

- A Demand has increased by less than supply has increased
- B Demand has increased by more than supply has increased
- C Demand is more price-elastic than supply
- D The equilibrium quantity has fallen

Your answer [] [1]

6 A good has a marginal external cost in production of £4 per unit. The marginal private cost of producing the 100th unit is £10 and the marginal social benefit is £14.

- A Allocatively efficient because $MSB = MPC + MEC$
- B Allocatively inefficient because $MSB > MSC$
- C Allocatively inefficient because $MSB < MSC$
- D Allocatively inefficient because $MPB < MPC$

Your answer [] [1]

7 A producer of soft drinks has a price elasticity of demand of -0.5 for its product. The producer raises the price by 8%.

- A Quantity demanded falls by 4%; total revenue rises
- B Quantity demanded falls by 4%; total revenue falls
- C Quantity demanded falls by 16%; total revenue rises
- D Quantity demanded falls by 16%; total revenue falls

Your answer [] [1]

8 When household income rises from £30,000 to £33,000, demand for budget supermarket own-brand bread falls from 200 units per month to 188 units per month.

- A -0.60
- B -0.06
- C +0.60
- D +1.67

Your answer [] [1]

9 Which of the following is the best example of **asymmetric information** in a market?

- A A consumer comparing prices of similar products in different shops
- B A producer responding to rising input costs by raising output prices
- C A second-hand car dealer knowing more about a vehicle's faults than the buyer
- D Two firms in the same industry having different production technologies

Your answer [] [1]

10 A buffer-stock scheme is most likely to be effective when:

- A Both supply and demand are price inelastic
- B Demand is highly price elastic
- C Storage costs are very high
- D The product is highly perishable

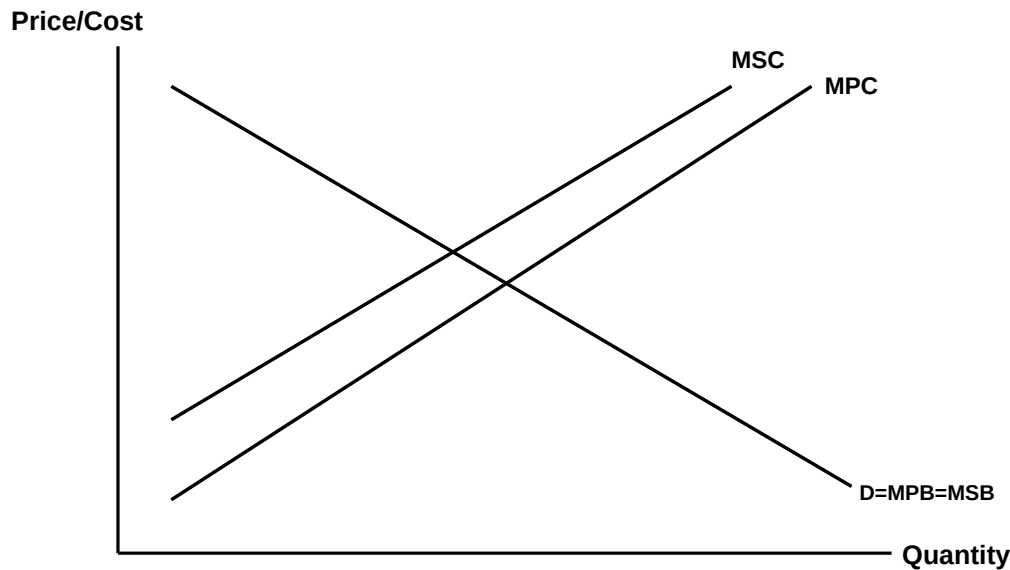
Your answer [] [1]

11 In a planned economy, the fundamental economic problem is solved primarily by:

- A Consumer preferences expressed through prices
- B Government decisions on what, how, and for whom to produce
- C Profit maximisation by firms
- D The interaction of supply and demand

Your answer [] [1]

12 The diagram shows a market with a negative production externality. The market is at the free-market equilibrium quantity q_1 .



- A The triangle between MPB, MPC and the social optimum quantity
- B The triangle between MPC, MSC and the free-market quantity
- C The triangle between MSC and MSB from the social optimum quantity to the free-market quantity
- D The vertical distance between MPC and MSC at every level of output

Your answer [] [1]

13 The price of sugar increases from £400 per tonne to £460 per tonne. As a result, quantity supplied increases from 5 million tonnes to 5.6 million tonnes.

- A 0.13
- B 0.80
- C 1.25
- D 8.00

Your answer [] [1]

14 Which is the most likely **drawback** of specialisation by a country in international trade?

- A Decreased ability to benefit from economies of scale
- B Greater vulnerability to external shocks affecting the specialised industry
- C Lower levels of productivity in the specialised industry
- D Reduced overall world output

Your answer [] [1]

15 Which combination of properties is most important for an item to function effectively as money?

- A Acceptability, divisibility and portability
- B High intrinsic value and beauty
- C Issuance by a national government and convertibility into gold
- D Limited supply and high transport costs

Your answer [] [1]

SECTION B

Sugar consumption and health policy in the UK

The consumption of free sugars in the UK has been linked to a number of significant health problems, including obesity, type 2 diabetes and tooth decay. According to Public Health England, adults in the UK consume on average around 60 grams of free sugars per day – more than double the recommended limit. Children consume an even higher proportion of their daily calorie intake in the form of added sugar. The costs of treating diet-related conditions in the National Health Service have risen sharply and have been estimated at over £6 billion per year.

In April 2018, the UK government introduced the Soft Drinks Industry Levy (SDIL), also known as the 'sugar tax'. The tax is levied on producers, at two rates: 18 pence per litre on drinks containing 5 to 8 grams of sugar per 100 ml, and 24 pence per litre on drinks containing more than 8 grams per 100 ml. The aim was to encourage manufacturers to reformulate their products with less sugar, rather than to raise large amounts of revenue.

Estimated elasticities for the UK soft drinks market are: price elasticity of demand for sugary soft drinks (PED) = -0.8 , income elasticity of demand (YED) = $+0.2$ and the cross elasticity of demand (XED) between sugary drinks and sugar-free alternatives = $+1.4$.

Following the introduction of the levy, around half of UK manufacturers reformulated their products to fall below the sugar threshold. Reported sugar consumption from soft drinks fell by approximately 28% between 2015 and 2020. However, total expenditure on soft drinks remained broadly unchanged because consumers traded up to other sweetened or premium products. Critics argue that the policy is regressive, as lower-income households spend a larger proportion of their income on the taxed products. They have also argued that policies such as **information provision** or stricter **regulation of advertising to children** would have been more effective.

Fig. 1: Main sources of free sugars in UK children's diets (% of total intake)

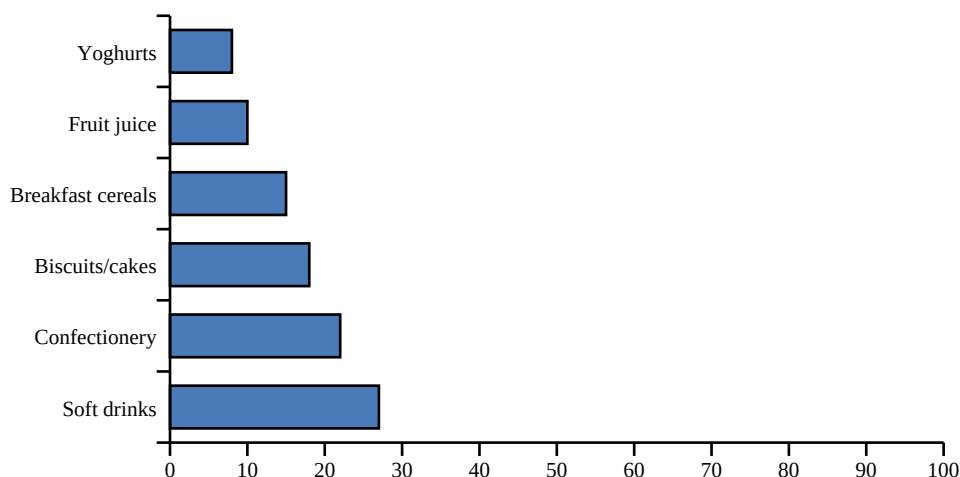
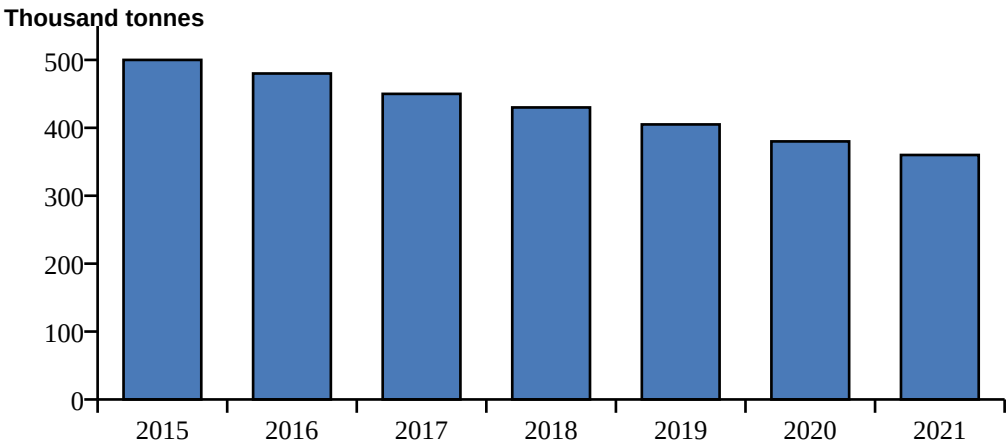


Fig. 2: UK sugar consumption from soft drinks (thousand tonnes)



16 (a) Using Fig. 1, state the percentage of total free sugar intake by UK children that comes from soft drinks.

[1]

(b) (i) Using Fig. 2, calculate the percentage decrease in UK sugar consumption from soft drinks between 2015 and 2021.

[2]

(ii) Using the value of PED for sugary soft drinks (line 13), explain how the introduction of the sugar tax will affect total expenditure on these drinks.

[2]

(c) Using a demand and supply diagram, explain how an indirect tax such as the SDIL affects the market for sugary soft drinks.

[illegible]

[4]

(d) (i) Using the value of XED between sugary and sugar-free drinks (line 14), explain the relationship between these two goods.

[2]

(ii) Explain how the consumption of sugary drinks may lead to market failure.

[4]

(e)* Evaluate, using an appropriate diagram(s), the effects of the Soft Drinks Industry Levy on UK consumers.

[10]

[illegible]

SECTION C

Answer **Question 17** or **Question 18**.

17* Some economists argue that regulation is more effective than indirect taxation in correcting market failure in markets such as sugary drinks, alcohol and tobacco. Evaluate, using an appropriate diagram(s), this view. **[20]**

OR

18* Government intervention to correct market failure can itself result in government failure. Evaluate, using an appropriate diagram(s), the extent to which government intervention is effective in correcting market failure caused by negative externalities. **[20]**

Question No. _____

[illegible]

[illegible]

[illegible]

END OF QUESTION PAPER